Opinion **US Treasury bonds**

# The US Treasuries market is a dangerous place to dream

When markets awake and reprice Treasuries, there is every chance we will see another nasty jolt

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For almost two years, a frightening question has haunted the US Treasury and Federal Reserve. No, this is not whether the Fed can engineer a smooth exit from quantitative easing; nor whether this is the right moment to switch the governor (and policy).

The question I am referring to is whether the US Treasuries market is robust enough to handle the shocks that might arise from those first two problems. For while the US government bond market used to be considered to be the world's most liquid and deep asset class, in March 2020 that cosy assumption was smashed apart.

Most notably, when investors woke up to the economic risks associated with the Covid-19 pandemic, there was such a dramatic sell-off in Treasuries that trading froze up. That, in turn, posed such big systemic threats that it forced the Fed to step in with what John Williams, NY Fed president, has called "staggering" amounts of liquidity support, reaching almost $1tn each day.

Thankfully, that Fed intervention prevented a complete crash. But, as a paper issued this week by a body called the Inter-Agency Working Group on Treasury Market Surveillance points out, a far milder echo of that shock re-emerged this February. And it could easily occur again soon. After all, inflation is now surging in a way that has created mounting calls for a US rate hike.

Even so, many investors are being lulled into a "dreamland", as Pimco founder Bill Gross told the Financial Times this week, since they assume that long-term rates will remain indefinitely low. This is bizarre, given the outlook for prices and growth, which has propelled equity markets higher. If nothing else, it suggests bond repricing is overdue.

That brings us back to the key problem haunting the Fed: can this adjustment occur without another 2020-style freeze? There is good and bad news on this front. To start with the good: 20 long months after that Covid-19 market shock, financial authorities now understand the source.

The essential problem might be likened to somebody rebuilding a house after a bad storm, but only shoring up half the foundations. More specifically, a decade ago, in the aftermath of the 2008 financial crisis, regulators tightened capital rules for banks in a way that made it too costly to hold vast quantities of Treasuries on their books. This move strengthened half the financial system's foundations — it made the banks safer — but had the unintended consequence of prompting them to withdraw from traditional market-making roles.

This has coincided with a rise in "principal trading firms" (or high-frequency trading funds), which have moved into the Treasuries sector with their computerised models and now account for 50-60 per cent of activity, as Gary Gensler, Securities and Exchange Commission chair, noted this week.

When market conditions are calm, the PTFs create strong, liquid foundations for trading. But in a crisis, they have no incentive to act as market makers, are more likely to flee and, as the IAWG paper notes, when some big holders of Treasury bonds — notably foreign investors — trimmed exposures in March 2020, nothing could absorb the selling shock.

What made the situation doubly pernicious was that some hedge funds had built huge, hidden derivatives positions. The lightly-regulated foundations of the system, in other words, created big cracks, although the banks were safe.

The bad news is that there is no easy or swift fix for these problems — even though authorities understand them. This week the Fed convened a conference which floated ideas to protect the market from future shocks. Gensler, for example, called for those pesky PTPs to be placed inside the SEC's regulatory net. He also suggested that Treasuries be cleared on a central platform.

Meanwhile, Fed officials called for more transparency and Wall Street bankers — unsurprisingly — demanded a rollback of the capital rules.

Some of these ideas are sensible. Personally, I would be wary of any widespread relaxation of the post-crisis reforms. But it would be useful if the rules were tweaked to help brokers to act as market makers in the Treasuries sector. Indeed, this is precisely what the Fed did temporarily in 2020. It would make even more sense to introduce more oversight of PTPs, via a clearing house or regulatory scrutiny (or both).

However, as so often in Washington, it would be wildly naive to expect that an entirely sensible set of solutions will be implemented fast. It has been clear that structural cracks were emerging in the Treasuries market ever since a so-called flash crash — or freeze — hit the sector, briefly, in 2015, presaging 2020. The Fed has since tinkered with small reforms. But it has taken six long years to get a serious policy debate under way. It could take as long again to actually make big structural changes.

Investors should draw two lessons. First, they need to pay attention to who replaces Randal Quarles as head of financial oversight at the Fed, since these issues will partly fall into his or her lap (along with the newly hyperactive SEC). Second, when markets awake from dreamland and reprice Treasuries, there is every chance we will see another nasty market jolt.

Unless, of course, the Fed keeps acting as a trillion-dollar-a-day market maker of last resort. Which is not, of course, how free market finance is supposed to work.

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